

THE WEALTH ACCELERATION FACTOR (WAF)

Suppose you're a disgusted engineer employed by a multinational corporation. You've been employed for three years and diligently save 10% of your paycheck and invest it into a mutual fund earning an average of 8% a year. Your Wealth Acceleration Factor (WAF) is 8%.

Now suppose you quit your job and take your three years of experience and set off to create a company manufacturing medical devices. You estimate that your total market (potential buyers) for your medical product(s) is 16 million. According to our chart above, the average multiple for the "medical devices" industry is over 17. This means within your scope of wealth acceleration, you can accelerate wealth at a FACTOR of 17, or 1,700%. Your Wealth Acceleration Factor (WAF) is 1,700%.

Let's extend this example further. For the next six years, you grow this company to the point that its net income is \$1.2 million per year. This means you now earn \$100,000 per month (your net profit) AND your company (the asset) is now worth in the neighborhood of \$18.4 million based on the average multiple ($\$1.2\text{MM} \times 17.32$ multiple). You could continue to grow the business (grow wealth via asset value) and cash flow (grow income) or seek to liquidate (sell asset value) to realize wealth acceleration.

Contrast the two wealth acceleration options for the Slowlaner and the Fastlaner. Your wealth acceleration options if you stay as an employed engineer:

- 1) Raise your intrinsic value and HOPE the boss gives you a pay raise.
- 2) HOPE the company doesn't lay you off, so you can continue receiving your income.
- 3) Save 10% of your paycheck in a mutual fund and HOPE for an 8% return for the next 40 years.

Your wealth acceleration options if you owned your own medical device company:

- 1) Grow net income with an income potential only limited by the number of devices you can sell, that is, 16 million.
- 2) Grow asset value at a factor of 1,700%.
- 3) Liquidate asset value and turn paper money into real money.

Can you see now why some 30-year-olds are worth \$50 million and some are worth \$13,000? The Fastlane universe operates on gains of 1,700% and millions, while the Slowlane universe 8% and 40. One plan is about HOPE while the other is about CONTROL. Breaking news: 8% and 40 makes millionaires in 40 years: 1,700% and 16 million makes *billionaires* in four years.